Research evolution

AI-GENERATED DRAFT | October 19, 2026 | Student review pending

Edition A baseline status

The student identifies the Lab 03 research-baseline text supplied in this conversation as Edition A and reports that the professor approved submitting it as text instead of a PDF. That approved format is used here; no separate original Edition A PDF is requested. The text is preserved in docs/edition-a-submitted-text.txt. Its existing wording, including its TEST ARTIFACT label, is retained rather than edited.

Two screenshots in docs show Lab 03 Attempt 1, a 25/25 grade, and September 1, 2026, 2:31-2:34 PM. They corroborate the dated lab attempt and grade. The format approval and identification of the submitted text are the student's account; the assistant has not independently retrieved the Brightspace answer or approval.

A correction belongs after the preserved baseline, never inside a rewritten baseline. This document packages the accepted text format; it does not recreate an earlier PDF or invent a separate submission receipt.

Edition A - student-supplied submitted text

LAB 03 - PROJECT 1 VALUATION EDITION A

NuScale Power Corporation (NYSE: SMR) | Research Baseline

TEST ARTIFACT. This document compiles the researched factual baseline. It cannot provide an LMS receipt, session token, attendance declaration, partner contribution, or personal truth/authenticity attestation.

Decision and intended user

Decision: Whether to initiate a speculative equity position in NuScale Power Corporation (NYSE: SMR).

Intended user: A long-horizon, high-risk-tolerance equity analyst who needs a clear record of what would have to become true for the company to justify an initiation.

Valuation date: December 31, 2025, matching the annual-report baseline. A dated market price is not included; it must be independently sourced before calculating market capitalization or a return comparison.

Initial thesis

Watch / defer; do not initiate a base-case position yet. NuScale has an NRC-approved 77 MWe reactor-module design and a commercialization partner, but remains at an early commercial stage. Its revenues are small relative to cash use, and the valuation depends on binding customer commitments, deployable project economics, and avoidance of further material dilution. This is a starting hypothesis, not a price target or investment recommendation.

Primary filing

NuScale Power Corporation, Form 10-K for the year ended December 31, 2025; filed February 26, 2026; SEC accession 0001822966-26-000018.

Source: SEC EDGAR filing

Known evidence from the filing

Evidence Value / observation Filing locator

Currency / units USD; financial statements in thousands except shares and per-share amounts Consolidated financial statements

Cash and equivalents $836.417 million Balance sheet

Short-term investments $417.800 million Balance sheet

Liquid investments $450.8 million Liquidity and capital resources

Restricted cash $5.1 million Liquidity / balance sheet

Debt The filing states that the company had no debt Liquidity and capital resources

2025 revenue $31.479 million Statement of operations

2025 operating cash use $459.610 million Cash-flow discussion

Historical share convention 163.732 million weighted-average Class A basic and diluted shares Loss per share note

Operating-value driver 77 MWe NPM; NRC approved the 6-unit 77 MWe design in May 2025 Business / regulatory discussion

Source for all table entries: NuScale 2025 Form 10-K

Share convention

Use the reported 2025 weighted-average Class A basic and diluted shares only for historical EPS consistency. A forward per-share valuation must define a current, fully diluted share count at the valuation date and separately evaluate Class B / LLC units, options, RSUs, and warrants. Do not mix a historical weighted average with an end-of-date equity value.

Consequential assumptions to test

1. The 77 MWe design approval can translate into bankable project development and binding module sales rather than only preliminary commercial interest.

2. NuScale can convert its ENTRA1 relationship into contracts with economics that produce positive long-run FCFF.

3. The company can fund the path to commercial scale without share issuance that overwhelms per-share value creation.

4. Cash and investments are available to shareholders after operating burn, restricted cash, contractual obligations, and required working capital are considered.

Unknowns and research plan

Key gaps: valuation-date share price and market capitalization; a fully diluted share bridge; project-level price, margin, capital, and timing assumptions; contract enforceability and profitability; WACC and normalized FCFF; and treatment of lease liabilities, commitments, and other debt-like claims.

5. Reconcile cash, investments, restricted cash, debt, lease liabilities, contractual commitments, and noncontrolling-interest claims to one date.

6. Establish a dated, fully diluted share bridge with explicit treatment of Class B / LLC units, options, RSUs, and warrants.

7. Identify signed customer contracts and distinguish them from non-binding MOUs, framework agreements, and development discussions.

8. Build revenue, margin, reinvestment, and cash-burn scenarios using milestone timing and independently sourced project economics.

9. Value operating assets using scenario FCFF, bridge to common equity, and compare the output with market capitalization and cash-adjusted multiples.

Synthetic enterprise-to-equity bridge

This course mini-case is synthetic teaching data, not NuScale evidence.

Calculation Result

Equity value = 1,000 EV + 100 cash - 250 debt - 20 NCI - 10 pension 820

Per-share value = 820 / 100 diluted shares $8.20

Falsification question

Required in a real lab: insert the actual partner-generated question verbatim.

Example only: What binding, economically specified customer contracts demonstrate that NuScale can earn returns above its cost of capital after financing and building its planned deployments?

Why it matters: the initial thesis relies on commercial conversion; evidence that signed projects lack economic profitability would invalidate the case for initiation.

Fields requiring the actual participant

• Lab date; teammates and personal contribution.

• Edition A receipt / attempt identifier and timestamp.

• AI-use disclosure stated truthfully.

• Session token announced in the room.

• Attendance declaration, authenticity attestation, truth attestation, and receipt confirmation.

• Two-to-three-sentence growth note in the participant's own words.

Proposed dated correction addendum

October 19, 2026: the supplied baseline's December 31, 2025 valuation date relied on a later-published annual report. Edition B uses September 1, 2026 close as an explicit retrospective analysis boundary. This close follows the lab's pictured end time and must not be represented as information available during that lab.

The first commercialization draft also omitted contractual payment escalation. That assistant error is corrected in the current engine and retained in the superseded evidence directory. Its former $0.51/$1.36/$8.41 values are obsolete. The first growing-perpetuity assumption was unsupported and has been disabled. The current model instead uses a six-times operating exit assumption, with zero/4x/6x/8x/10x alternatives. This completes a conditional valuation while retaining uncertainty about the market price of the residual business.

Edition B: current decision and user

Proposed watch/defer for an investment committee with no position. The student originally described a high-risk-tolerance, long-horizon analyst. No approved buy recommendation is inferred from unverified assumptions or omitted residual value.

A-to-B reconciliation proposal

Item	Earlier supplied material	Current draft	Driver and evidence
Thesis	Watch/defer	Provisionally unchanged	Student initial view plus AI-assisted contract and model review

Item	Earlier supplied material	Current draft	Driver and evidence
Evidence date	December 2025 with later disclosures	September 1 close, dated observations	AI identified look-ahead risk; source ledger
Shares	Historical EPS denominator distinguished from forward shares	Dated interests plus gross-award proxy	Model/source reconciliation; final ownership audit open
Commercial economics	Contracts, funding and margins unresolved	Explicit assumed prices, margins, delivery and fee schedules	AI implementation; data/commercialization-scenarios.json
Downside	Services-only wind-down case	Separate old-date case plus new margin/cash stresses	Existing coursework plus AI-generated tests
Terminal	No established sustainable franchise	Explicit assumed operating exit and zero-exit sensitivity	Avoid unsupported perpetuity; show residual-value uncertainty
AI output	Prior assistance disclosed in supplied report	Accept/modify/reject decisions still await student	The assistant corrected its own draft; no student independent check claimed

This table compares the preserved student-supplied text. The student should identify which changes came from their own work, instruction, peers or AI.

Consequential AI check

The assistant's flat-fee draft failed a primary-source contract check. Reading PMA Section 1(c) revealed the escalation floor. The model was modified, its original output retained, and an escalation regression added. This demonstrates an actual assistant correction; it is not a claim the student independently performed the check. Student disposition remains pending.

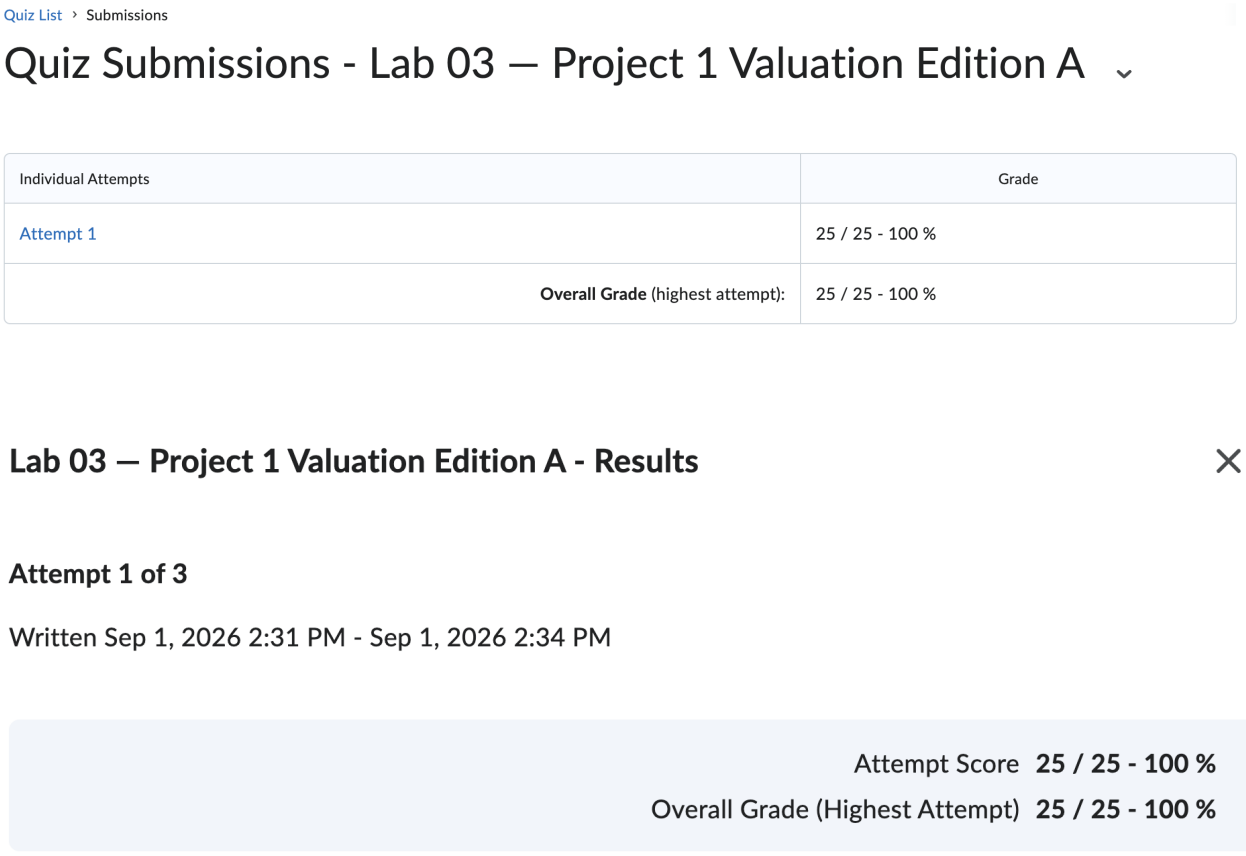
What changed, and why?

The proposed recommendation remains watch/defer, but its support is narrower and more explicit: commercial opportunities cannot substitute for verified net supplier economics, and the model no longer presents unsupported perpetual value. The conditional exit-based envelope is $0.00-$6.77/share. Contract prices and the exit multiple remain assumptions. Funding is conditional, and model tests establish internal consistency rather than forecast truth.

Existing NuScale Lab 11 prediction, changed input, results and reconciliation are preserved and mapped in docs/lab11-evidence-map.md. Their original timing and tool boundary are documentary checks, not an assumption that the exercise was never done. Remaining ownership evidence is listed in HANDOFF.md. No separate original Edition A PDF is outstanding.

Supporting lab screenshots

These images support the dated lab attempt and grade. The student reports professor approval to submit Edition A as text; the supplied text is preserved earlier in this document.



Quiz List › Submissions

Quiz Submissions - Lab 03 — Project 1 Valuation Edition A

Individual Attempts	Grade
Attempt 1	25 / 25 - 100 %
Overall Grade (highest attempt):	25 / 25 - 100 %

Lab 03 — Project 1 Valuation Edition A - Results

Attempt 1 of 3

Written Sep 1, 2026 2:31 PM - Sep 1, 2026 2:34 PM

Attempt Score **25 / 25 - 100 %**

Overall Grade (Highest Attempt) **25 / 25 - 100 %**